

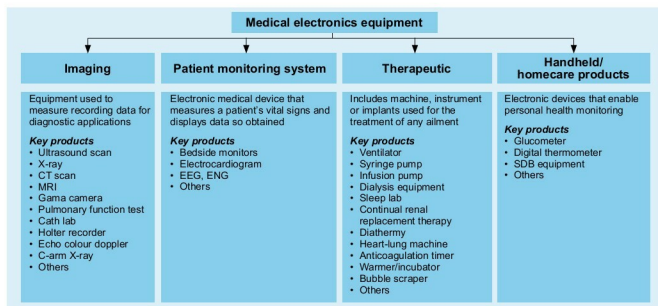


Fig. 2: Classification of medical electronics equipment

Performance of medical electronics devices relies on innovations from semiconductor players—highly-integrated microchip designs. Use of semiconductors is critical from power supplies to displays in medical equipment. Semiconductors are an integral part of most medical equipment, starting from high-end imaging to small handheld devices. Role of semiconductor suppliers becomes more critical as medical equipment move towards portable and smaller ones.

According to Frost & Sullivan, the medical electronics market (including final products and semiconductor components) in India is likely to reach US\$ 11.7 billion by 2017.

Growth drivers

Growth of this sector in the country has been driven by various market and non-market factors. Growing population, ageing fraction of population, enhanced income base and associated disposable income, increasing socio-economic inclusion of subalterns in the mainstream economy are some market factors that have created demand for customised medical electronic products to cater to the needs of all income

segments, changing the disease prevalence pattern.

Moreover, growing awareness among the middle class to focus on early detection and prevention of non-communicable diseases like cardiovascular diseases, diabetes, cancer, strokes and chronic lung diseases is expected to generate demand for medical electronic equipment and disposables. For example, X-rays and other imaging equipment, pathological analysers, probes, mains and battery-operated devices, mobile detection and therapeutic equipment, equipment for sanitising and infection protocols, robotics and radio therapeutic equipment, cardiovascular and neurovascular detection, bionics, systems along with modular life-support systems, patient monitoring, internal and external implants, minimally-invasive and non-invasive surgery, distant monitoring, diagnosis and remedial management will be in demand.

Further, various non-market factors including favourable regulations, FDI inflow, emergence of India as a favourable destination for outsourcing of manufacturing and R&D activities and government ini-

Key drivers for the Indian medical electronics market

- Economic growth leading to higher disposable incomes
- Increased public spending in healthcare
- Increased private investment in healthcare
- Increased penetration of health insurance
- Emergence of new models of healthcare delivery
- Public private partnership route to innovation

tatives to improve healthcare access through insurance schemes will fuel the growth of medical electronics.

Market mix

The medical electronics equipment/devices can be broadly bucketed under the following sub-categories (Fig. 2):

- Imaging
- Patient monitoring system
- Therapeutic
- Handheld/homecare products

According to industry sources, MRIs, CT scans, colour dopplers, cath-labs and ultrasound scanners are a few fast-moving categories contributing to around 70 per cent